

AN INTRODUCTION TO THE ECONOMIC ACTIVITY 30060 – MANAGEMENT

Management Book – Chapter 1

Department of Management & Technology



AGENDA

1. WHAT IS MANAGEMENT?
2. PEOPLE GOALS AND NEEDS
3. TYPES OF GOODS
4. ECONOMIC ACTIVITY
5. PEOPLE AND ACTIVITIES OF BUSINESS
6. ROLE OF THE ENTREPRENEUR, GOVERNMENT AND ETHICS IN BUSINESS
7. SUMMARY OF MAIN POINTS



Università
Bocconi

UNDERGRADUATE
SCHOOL

1.0

WHAT IS MANAGEMENT?



Università
Bocconi
MILANO



We define **MANAGEMENT** as

A range of decisions associated with the acquisition, allocation, and integration of resources (human, physical, financial, etc.) required to perform a certain economic activity.



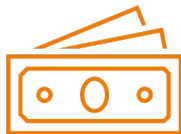
3 Key points

A range of decisions associated with the acquisition, allocation, and integration of resources (human, physical, financial, etc.) required to perform a certain economic activity.

DECISIONS



ACQUISITION, ALLOCATION, INTEGRATION OF RESOURCES



PERFORM AN ECONOMIC ACTIVITY

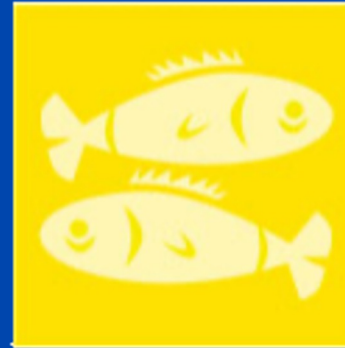


We define **ECONOMIC ACTIVITY** as

Actions that involve the production, distribution and consumption of goods and services at all levels within a society.



Why do we
perform
economic
activities?



Connecting pieces



2.0

PEOPLES GOALS AND NEEDS



Universit 
Bocconi
MILANO

Where do NEEDS/WANTS come from?
What generates and changes them?



Where do NEEDS come from? And what generates and changes them?

PEOPLE's GOALS
what they aim to achieve

PEOPLE's VALUES
what is important to their life

- They differ across cultures and socio-economic conditions
- They evolve over (individual, organizational, institutional) time



Needs as a lack of something

In 1943, Abraham Maslow developed “a theory of psychological health predicated on fulfilling innate human needs in priority”.

Maslow observed that needs spans from the tangible, such as food and water, to the intangible, such as self-esteem and creativity.



Types of needs

NATURAL NEEDS

product of human biology

VS.

SOCIAL NEEDS

product of spiritual self and social interaction with others

- RADICAL

fundamental to society,
e.g. justice or freedom

- NON-RADICAL

belonging, friendship, etc.

ESSENTIAL/PRIMARY NEEDS

universal

VS.

NON-ESSENTIAL/SECONDARY NEEDS

influenced by imitation, fashions,
expectations from others



Poll time!

What type of needs would you target in a marketing campaign?

- A) Primary needs
- B) Non-essential needs



**all you need
is love.
and pizza
& netflix.**

3.0

TYPES OF GOODS



Università
Bocconi
MILANO

PRIMARY GOODS
satisfy essential needs



VS

NON-ESSENTIAL GOODS
satisfy non-essential needs



COMPLEMENTARY GOODS
you need **both** to satisfy need



VS

SUBSTITUTES GOODS
you need **one** to satisfy need



DIFFERENTIABLE GOODS

Producers can add
differentiating features
to the good



VS

COMMODITIES

there are
no differentiating features



CONSUMER GOODS
for **final use** or consumption



VS

INDUSTRIAL GOODS
used to produce other goods



DISPOSABLE GOODS

used **once**



VS

DURABLE GOODS

used **many times**



GOODS FOR INDIVIDUAL

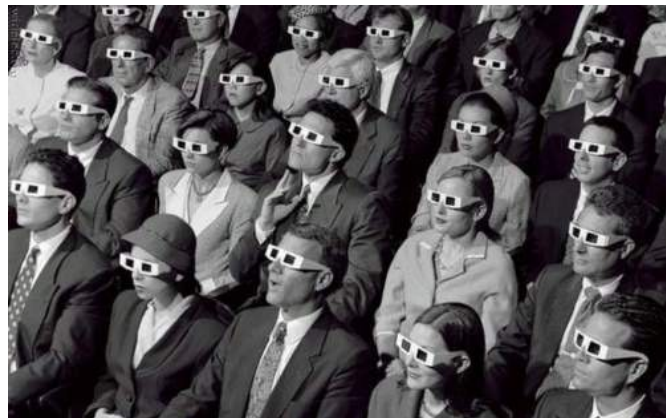
Use or consumption
by single individuals



VS

COLLECTIVE CONSUMPTION

use or consumption
by many individuals
at the same time



PUBLIC GOODS (VS. PRIVATE): two definitions

1. the goods that are both non-excludable and non-rivalrous in consumption
2. the goods produced by the State or its branches (rather than firms, families or non-profits)



Excludability and rivalry in consumption

EXCLUDABILITY IN CONSUMPTION

it is possible to prevent people from accessing a good

RIVALRY IN CONSUMPTION

consumption by one consumer prevents consumption by others

EXAMPLES

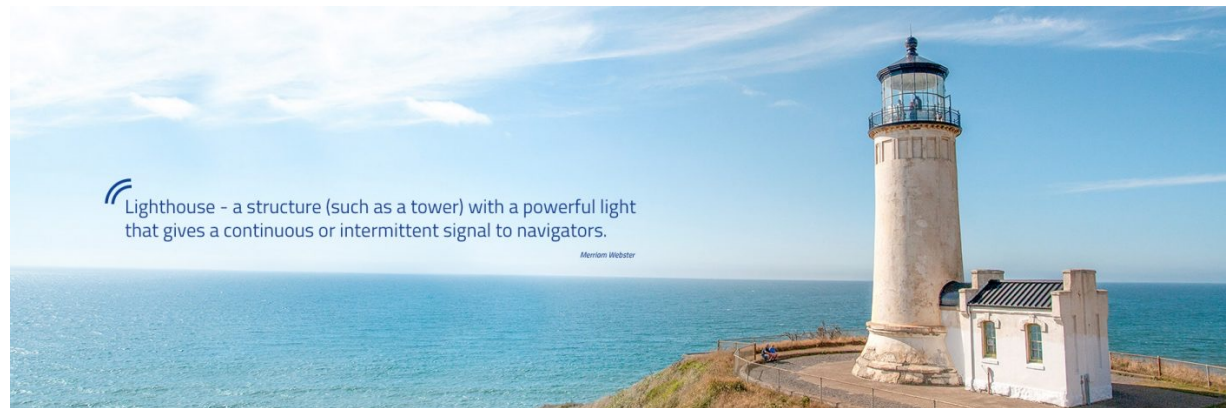
national security, culture, fresh air (non-excludable and non-rivalrous)
highways (excludable), timber (rivalrous)



Poll time!

What type of good is a lighthouse?

- A) non-excludable & non-rivalrous
- B) excludable & rivalrous
- C) excludable
- D) rivalrous



 Lighthouse - a structure (such as a tower) with a powerful light that gives a continuous or intermittent signal to navigators.

Merrion Webster



Poll time!

What type of good is a hospital?

- A) non-excludable & non-rivalrous
- B) excludable & rivalrous
- C) excludable
- D) rivalrous



4.0

ECONOMIC ACTIVITY



Università
Bocconi
MILANO

What does economic activity involve?

TECHNICAL TRANSFORMATION

Physical (i.e.
manufacturing)

Spatial (i.e.
transportation)

Logical (i.e. banks)

TRANSACTIONS

To buy input and to sell
output.

Transactions (i.e. of
financial resources,
labour, private goods..)
link organizations to
other organizations and
individuals.

COMPLEMENTARY (SUPPORT) ACTIVITIES

Institutional structure
design

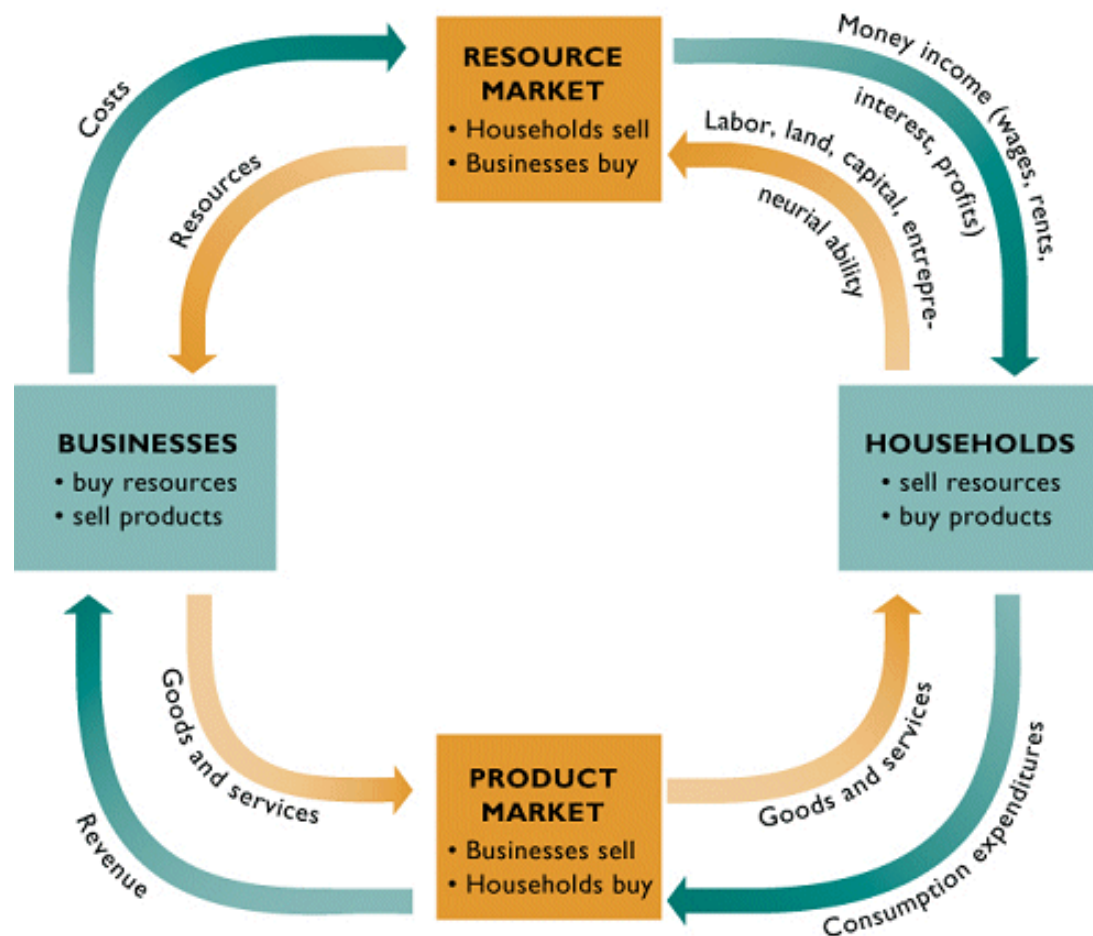
organizational and
human resources
management

accounting and
information
management



The circular flow model

Money moves through society in 2 ways:
flowing from producers to workers as wages,
and back to producers as payment for products



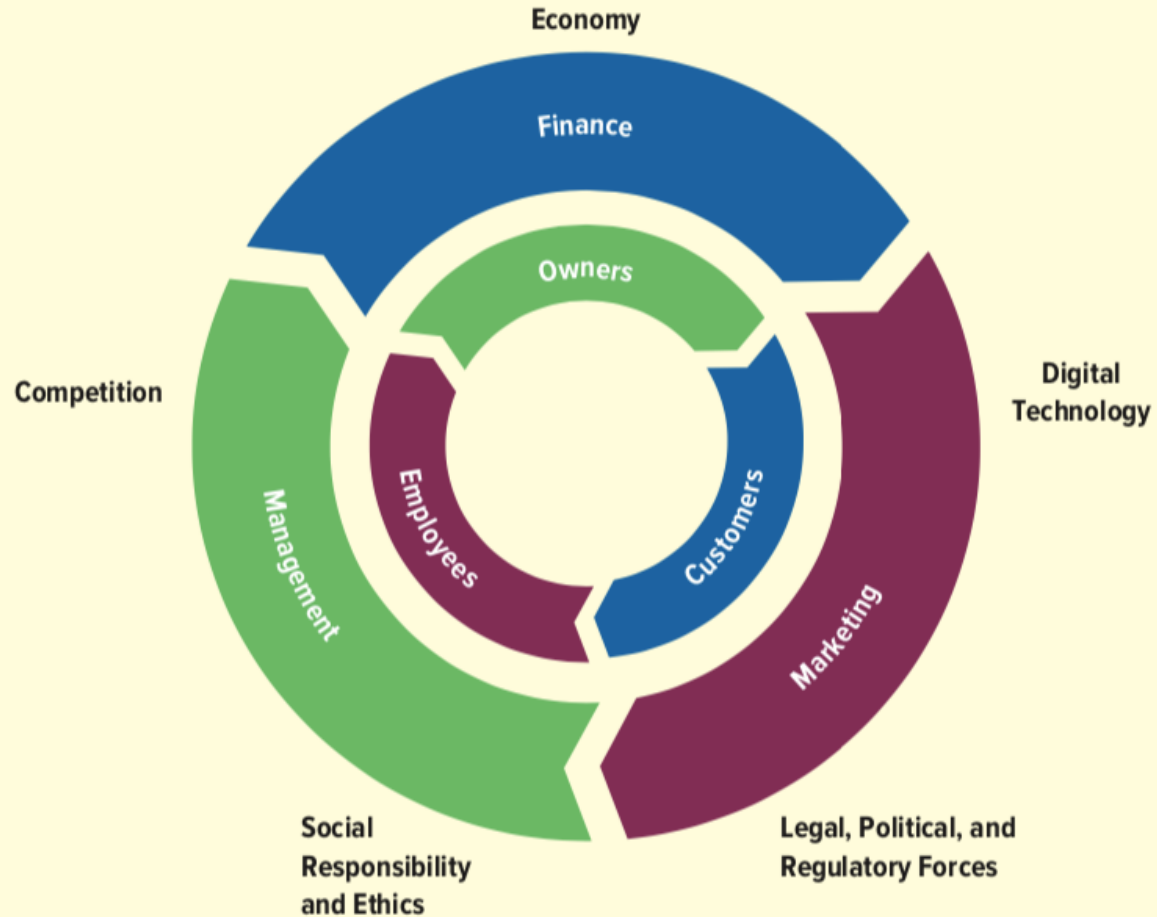
5.0

PEOPLE AND ACTIVITIES OF BUSINESS



Università
Bocconi
MILANO

People and activities of business



People involved in business

OWNERS

- Provide resources to start a business
- Can manage the business themselves or hire employees to do so

CUSTOMERS

- Buy goods/services offered by the business

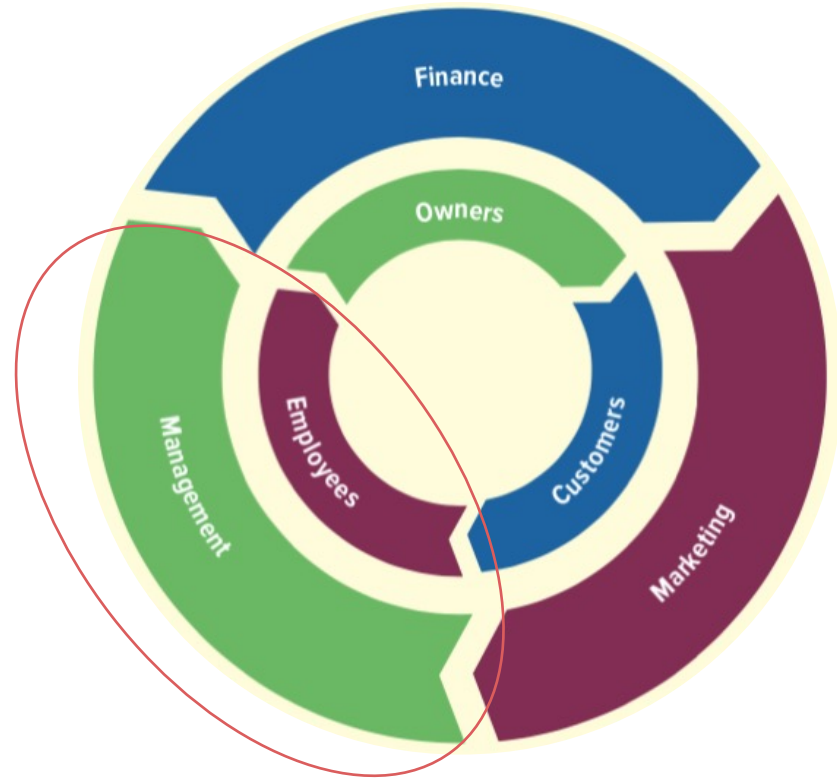
EMPLOYEES

- Responsible for the work that goes on within a business



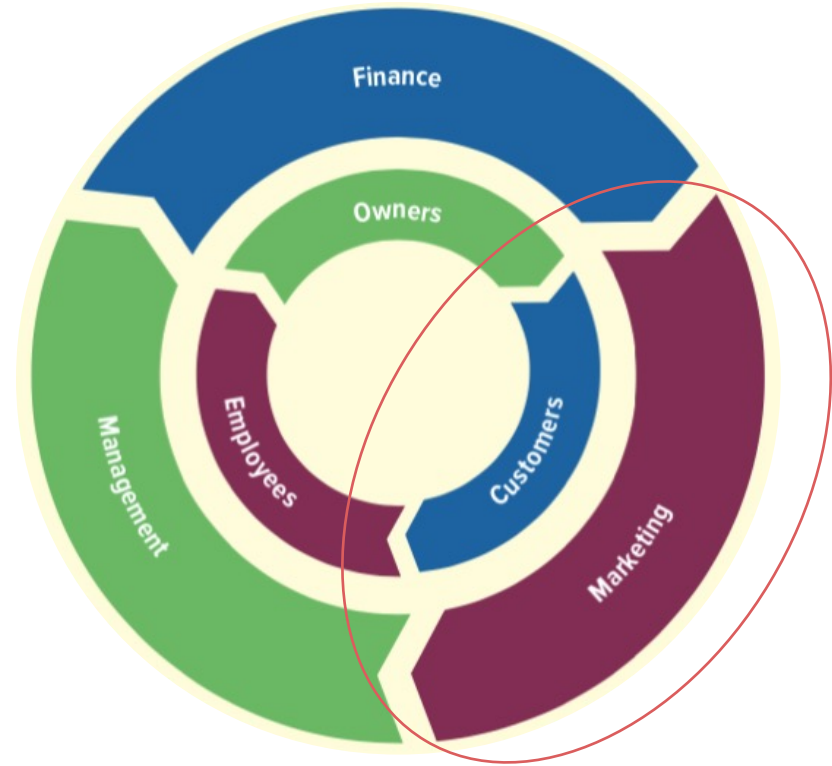
Management

- Concerned with acquiring, developing and using resources (including people) effectively and efficiently
- Involves overseeing firm's operations to ensure resources are transformed into goods/services



Marketing

- Focus on the 4 P's – product, price, place/distribution and promotion
- Involves planning and developing products that satisfy customers' needs, make decisions about how much to charge for their products and when and where to make them



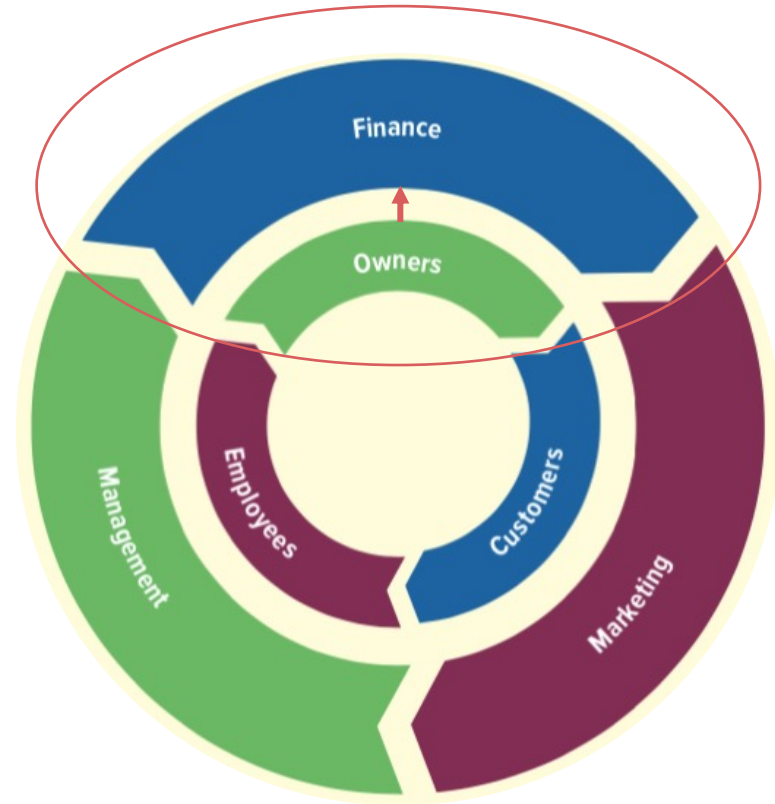
Finance

- Refers to all activities concerned with obtaining and effectively using money for business operations
- Primary responsibility of owners to provide financial resources either by borrowing money from banks or attracting additional

investors



Università
Bocconi
MILANO



6.0

ROLE OF THE ENTREPRENEUR, GOVERNMENT AND ETHICS IN BUSINESS



Università
Bocconi
MILANO

Can you name an entrepreneur that you admire?

<https://cutt.ly/tvJlpmr>



Examples of entrepreneurs



HARPOSTUDIOS™



**Università
Bocconi**

UNDERGRADUATE
SCHOOL

Role of the entrepreneur

- Entrepreneur is an individual who risks his/her wealth, time, effort to develop for profit an innovative product
- Free-enterprise economy provides necessary conditions for entrepreneurs to succeed



Università
Bocconi

UNDERGRADUATE
SCHOOL



Ashley Sumner • 2nd
CEO & Founder of Quilt
1w • 🌐

+ Follow ...

I am a founder. By putting my gender in front of what I am belittles what I've accomplished, and reminds women how few of us get to where I am. I'm ready to drop the gender and get right to the work I'm doing. 🙄 Who's with me?



Goal of business

- To earn profit
- Profit = costs to make/sell a product – what customer pays for it
- Do so in an ethical fashion by developing a reputation of trust and avoiding misconduct in the workplace



**Università
Bocconi**

UNDERGRADUATE
SCHOOL

Role of the government

- Preserves competition and protects consumers, employees and the environment through laws and regulations
- Takes steps to minimize disruptive effects of economic fluctuations and reduces unemployment
- Spurs growth so consumers spend more money and businesses hire more employees



Think of the pandemic crisis:
what role played the government to safeguard economy?



Università
Bocconi

UNDERGRADUATE
SCHOOL

Role of non-profit business

- Organizations that may provide goods or services but do not have the fundamental purpose of earning profits
- Why non-profit?



Characteristics of non-profit business

- Non-profits are organizations that 1) **are private** and 2) **are not allowed to distribute profits or assets**
- Typical spheres of activity: culture, education, healthcare, protection of the environment, social programs, trade associations, promotion of civil rights..
- They may pursue private interests of participants (e.g. trade associations), sell products or services (e.g. universities), or provide public goods (e.g. philanthropic foundations).
- They need skills related to management, marketing, and finance
- They may have employees, volunteers, or a combination of them



7.0

SUMMARY OF MAIN POINTS



Università
Bocconi
MILANO

In summary



THANK YOU